

Standard Chartered

Investor Day expectations: >15% ROTE 28E with a focus on operating leverage and capital allocation

StanChart's Investor Day on 19 May will outline new targets to 2028 where we expect a >15% stated ROTE as the North Star for the next phase of the Group's trajectory (vs JPMe 15.5%, cons 15.1% 28E). We see this being underpinned by a continuation of the Group's strategy, geared towards higher margin segments including Affluent clients within Retail and Financial Institution clients within the CIB, to support a more resilient return profile. We expect operating leverage to remain a focus with revenue growth at 5.5% CAGR 25-28E outpacing cost growth at 1.0% CAGR, driving a structurally lower CIR towards 56% 28E (vs 63% FY25) - with a bull case scenario of +6% revenue CAGR 25-28E producing a ROTE of 16+% 28E. We also see a stronger outlook for distributions, and expect a 35% dividend payout ratio (vs consensus c30%) and total distributions of \$13.0bn 26-28E (cons \$12.9bn) including buybacks to be targeted. Following results, we increase EPS by 2-3% driven by stronger revenues and lower costs with an updated PT of 2,220p (from 2,200p). We view the risk/reward as attractive at 8.7x PE, 1.2x PTNAV 27E, with the Group materially reshaped over the last 10Y and now focused on sustainable ROTE expansion.

- North Star of >15% ROTE with strategic progress to continue along the same path:** We forecast stated ROTE targeted at >15% 28E, with a steady improvement from 11.9% FY25, reflecting a continuation of the strategic progress the Group has made in recent years. This includes: 1) a repositioning of the Wealth & Retail Banking segment towards Affluent clients, which we expect to grow to 80% of segment income in 28E compared to c70% at present; 2) net new money targets potentially being upgraded from \$200bn in 25-30E, with 35% of the 6Y target (c\$70bn) already gathered in the past 5Qs i.e. well ahead of plan; 3) greater gearing to Financial Institutions towards 65-70% of segment income in 28E, compared to 60% at present, with a focus on balance sheet velocity to manage capital. Beyond 2028E, targeted growth in higher margin segments and maturing investments (e.g. Relationship Managers in Wealth) will support a higher ROTE trajectory.
- Revenue growth targets of 5-7% extended to the next leg:** The Group has targeted 5-7% MT revenue growth since 2017, which we expect to be extended across the 25-28E plan. In the assumed declining rate environment, we forecast +5.5% CAGR revenue growth in 26-28 (vs cons +5.4% CAGR) driven by non-NII at +8.7% CAGR (including Wealth at 18%) but at a decelerating pace, supported by an improving outlook for NII although at a slower +2.6% CAGR (vs cons 2.1%).
- Operating leverage focus with stated 1% cost CAGR:** While we don't expect another material restructuring programme, we expect BAU restructuring and cost saves, alongside c4-5% inflation/business-related growth, to drive a cost base of \$13.6bn 28E, implying +1.0% cost CAGR 25-28E. This drives a pre-provision operating profit CAGR of +12% and a structurally lower CIR of 56% 28E - last seen at similar levels pre-2014.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Overweight

STAN.L, STAN LN

Price (05 May 26):1,819p

▲ Price Target (Dec-27):2220.0p
Prior (Dec-27):2200.0p

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (\$)	2.26	2.30	1.8%
Adj. EPS - 27E (\$)	2.75	2.84	3.1%

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1	0.50	0.64A	
Q2	0.65	0.59	
Q3	0.41	0.50	
Q4	0.25	0.41	
FY	2.34	2.30	2.84

See page 12 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



Company Data

Shares O/S (mn)	2,330
52-week range (p)	1,924-1,039
Market cap (\$ mn)	57,364.03
Exchange rate	73.90
Free float (%)	100%
3M ADV (mn)	5.60
3M ADV (\$ mn)	128.6
Volatility (90 Day)	37
Index	-
BBG ANR (Buy Hold Sell)	15 4 3

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	11,184	11,372	11,600	12,079
Non interest income	9,645	10,671	11,529	12,391
Operating expenses	(13,145)	(13,232)	(12,947)	(13,585)
Adj. PPOP	7,684	8,810	10,183	10,885
Provision for loan losses	(672)	(1,059)	(1,023)	(1,134)
Adj. PBT	7,009	7,736	9,160	9,751
Adj. net income	5,629	5,097	6,044	6,463
Adj. EPS	2.34	2.30	2.84	3.18
BBG EPS	2.22	2.32	2.76	3.20
DPS	0.61	0.80	0.99	1.11
Loans	286,788	298,403	310,708	323,546
Deposits	530,161	559,924	593,176	620,633
Total Assets	919,955	957,543	997,261	1,038,702
Margins and Growth				
NIM	2%	2%	2%	2%
Ratios				
Loan/ Deposit ratio	54%	53%	52%	52%
NPL / Loans	2%	2%	2%	2%
Coverage	52%	52%	52%	52%
CET 1	14.1%	13.6%	13.7%	13.8%
Non-int. income/ Income	46%	48%	50%	51%
Cost/Income	63%	60%	56%	56%
LLP/Loans	(0.2%)	(0.4%)	(0.3%)	(0.4%)
ROA	0.6%	0.5%	0.6%	0.6%
ROE	12.4%	10.9%	12.6%	12.9%
Valuation				
Dividend yield	2.5%	3.3%	4.0%	4.5%
Adj. P/E	10.5	10.7	8.7	7.7
P/ BV	1.2	1.1	1.0	0.9

Summary Investment Thesis and Valuation

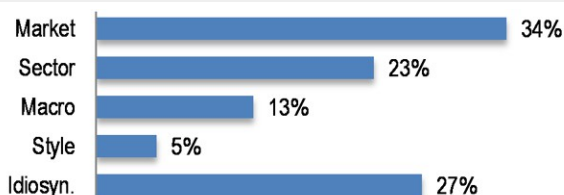
Investment Thesis

We view StanChart as undervalued relative to sector/EM peers at 1.2x PTNAV 27E with significant earnings growth potential supported by structural growth drivers and relatively high capital return. With the Group's 24-26E targets already achieved by FY25 across revenues and distributions, we now forecast c5.5% revenue growth CAGR across '25-28E driven by non-NII in 26, and broadening out to both NII/non-NII in outer years. We see this led by Wealth (driven by Affluent segment opportunities), Financial Markets (alongside cross-border income) and Banking. We expect FY26E NII +2% y/y due to lower rates and pass-throughs offset by volume growth. We expect cost growth at a c1% CAGR 25-28E as we expect growing investments in the future to capitalise on productivity and revenue opportunities, with positive operating leverage expected annually and the CIR to decline towards mid-50s. Overall, we expect stated ROTE to grow to c15.5% 28E, alongside a 35% dividend payout ratio and \$2-2.5bn/y buybacks, offering a total yield of 7-9%/y.

Valuation

We value StanChart using a SOTP methodology with divisional multiples differentiated by type of business. We value Corporate, Commercial and Institutional Banking at 8.5x P/E, and Consumer, Private & Business Banking Commercial at 10.0x P/E. We value excess capital above 13.0% at 1x. Our Dec-27 PT is 2,220p.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI UK	0.77	0.63
Sect: Financials	0.59	0.65
Ind: Banks	0.74	0.72
Macro:		
US Breakeven 10 Year	0.50	0.39
JPM USD Tradeable Currency	0.31	0.32
JPM JULI Portfolio Spread Treasury	-0.26	-0.16
Quant Styles:		
Quality	-0.55	-0.46
DivYld	-0.47	-0.44
LowVol	-0.39	-0.33

- **CET1 operating range potentially narrowing to 13-13.5%**, compared to the current target range of 13-14%, with management comfortable operating with 1Q26 CET1 at 13.4% and the lowest level in several years. We forecast a total yield of 8%/y on average, including a 4%/y dividend yield at a 35% dividend payout, with c\$1.2bn of excess capital above 13.0% CET1 28E available for additional b/s growth, investments or distributions.

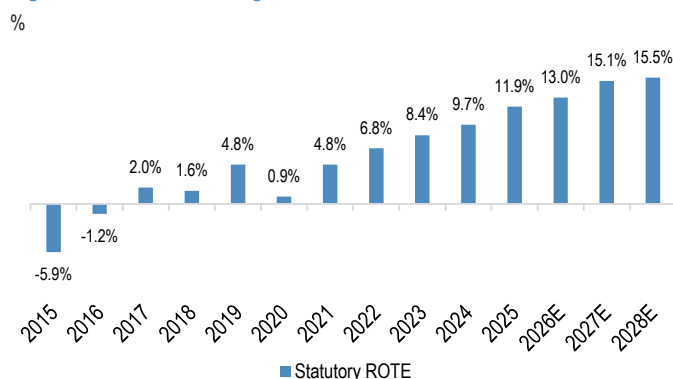
Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	40	20	22	11	48
Growth	56	71	40		
Momentum	5	60	12	45	83
Quality		88	89	73	67
Low Vol	74	93	73	70	98
ESGQ	86	65	65	93	65

Path to >15% ROTE

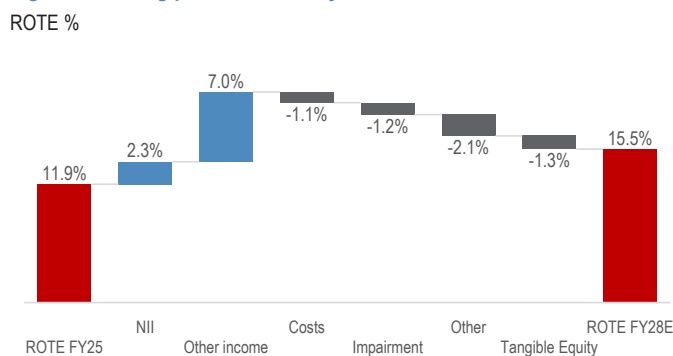
We see a path towards >15% stated ROTE by 2028E in our base case, from 11.9% FY25, evidencing significant progress from loss-making operations 10 years ago. This assumes a slightly declining interest rate environment across the next three years, resulting in revenue growth at +5.5% CAGR 26-28E, driven by non-NII at a +9% CAGR supported by an improving outlook for NII, although at a slower +3% CAGR. We expect a focus on operating leverage through the next strategy cycle, with the CIR to decline to c56% (vs 63% at present). Overall, this drives a net profit base of \$6.5bn 28E (vs \$4.6bn FY25) alongside slight TNAV growth (although with TNAV/sh growing at +8% CAGR 25-28E), resulting in ROTE of 15.5% 28E.

Figure 1: Stated ROTE to grow to 15.5% 28E



Source: J.P. Morgan estimates, Company data.

Figure 2: Moving parts ROTE analysis from FY25-28E



Source: J.P. Morgan estimates, Company data.

In a bull-case scenario, assuming: 1) total revenue CAGR growth of 6% 25-28E (although still only at the mid-point of the Group's revenue growth target range of recent years of 5-7%) reflecting stronger Wealth and CIB momentum; 2) underlying cost growth in line with current forecasts at 5%/y in FY27/28E driving reported cost growth CAGR at 1% 25-28E; 3) CET1 targeted at 13.0% across FY27-28E to drive additional distributions - we see ROTE growing to 16.3% 28E, with a total average yield including buybacks of 9.0% across 26-28E.

Figure 3: Forecasts vs bull case scenario of a stronger revenue outlook

	Forecasts	Bull case scenario
Revenue CAGR 25-28E	5.5%	6.0%
Reported cost CAGR 25-28E	1.0%	1.0%
ROTE 2028E	15.5%	16.3%
Average annual yield across 26-28E	8.2%	9.0%

Bull case scenario assumes total revenue growth of 6% and additional distributions for CET1 at 13.0% in FY27/28E.
Source: J.P. Morgan estimates.

5-7% revenue CAGR target likely to be extended for the medium term

StanChart has targeted a 5-7% revenue CAGR medium-term growth since 2017. In our view, the Group has broadly met these targets outside of the 2020-21 pandemic period.

Figure 4: Annual revenue growth achieved and forecasted 26-28

% y/y	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Revenue growth	5%	5%	-2%	-1%	15%	13%	12%	6%	6%	5%	6%

Constant currency, excluding DVA pre-22 and other notables
Source: Company reports.

We expect a **5-7% revenue growth target to be reaffirmed for the medium term** at the Group's Investor Day. We forecast +5.5% revenue CAGR (FX-adjusted) across 25-28E and at the lower end of these targets, driven by non-NII at a +8.7% CAGR, although with the pace of growth reducing over time. In contrast, we forecast NII at +2.7% CAGR, but at an increasing pace across the plan given the reduced drag from interest rates.

Wealth to remain a key driver of revenue growth, with upside risk to \$200bn net new money targets

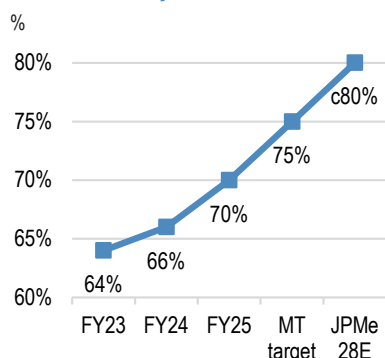
Wealth has been a significant driver of income growth in recent years, representing 15% of Group revenues in FY25 (18% for 1Q26) compared to 11% 3Y ago. With Wealth revenue growth at +18% CAGR 25-28E expected, we see Wealth representing 21% of Group revenues by 28E. The Group targets \$200bn of net new money across 25-30E (and a double-digit % CAGR in Wealth Solutions Income), although with c\$70bn gathered in in the five quarters to 1Q26 (i.e. 35% of the 6Y target gathered in 5Qs), we see upside risk to this NNM target, which could be refreshed in May. This is supported by Affluent new-to-bank client growth, with 275k clients onboarded in 2025 and >60k/quarter.

Figure 5: Wealth revenues, AUM and Net new money

\$m, Net new money \$bn	FY24	FY25	FY26E	FY27E	FY28E	Current targets	25-28E CAGR
Wealth	2,494	3,087	3,855	4,424	5,030	Double digit% CAGR	17.7%
o.w. Investment products	1,831	2,348	2,990	3,473	4,013		19.6%
o.w. Bancassurance	663	739	865	951	1,018		11.3%
Affluent AUM	367,113	447,219	500,872	567,909	637,087		12.5%
o.w. Wealth	193,168	242,326	275,212	320,712	367,923		14.9%
o.w. Deposits	173,945	204,894	225,660	247,197	269,164		9.5%
Net New Money	43.0	51.9	59.2	61.5	62.8	\$200bn over 25-30E	
o.w. Wealth	28.8	23.4	37.5	40.0	40.8		
o.w. Deposits	14.2	28.5	21.6	21.5	22.0		
NNM annl.	15.8%	14.1%	13.2%	12.3%	11.1%		
Wealth NNM annl.	24.4%	12.1%	15.5%	14.5%	12.7%		

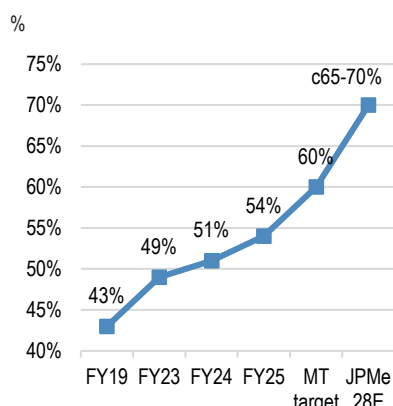
Source: J.P. Morgan estimates, Company data.

Figure 6: Affluent income as a % of Wealth & Retail income to increase towards c80% by 28E



Source: J.P. Morgan estimates, Company data.

Figure 7: Financial Institutions income % of CIB income to continue to increase



Source: J.P. Morgan estimates, Company data.

Affluent income to grow towards c80% of Retail income and drive a continued valuation re-rating

The Group has also repositioned itself away from mass-market Retail activities through an emphasis on Affluent income generation (e.g. Wealth) as well as Retail disposals (e.g. exits from select African and Middle Eastern markets, Indonesia retail loans, Malaysia personal loans, India personal loans). Affluent income now represents 70% of Wealth & Retail Banking income (vs 64% in FY23) compared to medium-term targets of 75%, **which we expect to increase towards c80% by 28E** given the pace of Wealth income growth and the \$1.5bn investment into the Affluent business across 25-30E (split across people, technology, and marketing/client centres). Income RoRWA for the Affluent segment is >2.5x greater than the overall Group, as at 9M24.

CIB focus on Financial Institutions to continue towards 65-70% of total CIB income

Financial Institutions (FI) represent c54% of total CIB income (vs 43% in 2019) with the Group on track to meet its c60% medium-term target. Given the pace of progress, we expect this target to be increased and extended towards 65-70% of CIB income. FI income generates a c90bps higher income RoRWA compared to the overall CIB (as at FY24), and further gearing will likely drive higher returns for the division and Group. In particular, we see greater opportunities in: 1) the originate to distribute segment, which allows for income growth to diverge from loan growth given the Fee income potential; 2) cross-sell, to further increase income per client which offers significant multiplier potentials (e.g. clients with 3-10 products have a 9x income multiplier and clients with >10 products have a 49x income multiplier vs clients with <3 products); 3) network income given the Group's unique geographic presence particularly in Asian/Middle-Eastern and African markets.

Cost growth at +1% CAGR 25-28E towards a c\$13.6bn cost base 28E

The Group has guided for a FY26E cost base of c\$13.2bn, which implies c4.5% underlying cost inflation (including business growth), excluding c\$0.4bn cost saves from the Fit for Save programme and c\$0.8bn restructuring costs - both of which management has provided guidance for. We assume a similar level of underlying cost inflation in 27/28E at +5.0% with headline inflation expected to ease but investment growth to strengthen. This drives cost growth at +1% CAGR across 25-28E, with a cost base of \$13.6bn in 28E.

Figure 8: Stated cost growth forecasted at +1.0% CAGR 25-28E

	FY25	FY26E	FY27E	FY28E	CAGR 25-28E
Underlying cost growth assumed	-	4.5%	5.0%	5.0%	
Underlying cost base with growth/inflation	-	12,834	13,055	13,393	
Cost saves from Fit for Growth	-	-400	-300	0	
Restructuring	798	800	200	200	
Estimated, stated cost base	13,145	13,234	12,955	13,593	1.0%
JPMe, stated cost forecasts	-	13,232	12,947	13,585	1.0%

Source: J.P. Morgan estimates, Company data.

In our view, the \$1.3bn Fit for Growth across 24-26E has been executed well across >300 granular initiatives, split across organisational design (c28% of expected cost saves), process simplification (c22%), service delivery and platforms (c32%) and tech

simplification (c18%). However, with the programme nearing completion this year, we don't expect another significant restructuring programme to be announced at the Investor Day, but instead expect an ongoing c\$0.2bn of restructuring to be taken to drive BAU cost saves.

Capital allocation to focus on growth investments alongside growing distributions towards a 70-75% total payout

With ROTE forecasted to grow to c15% 28E, we see organic capital generation from profits growing from c190bps CET1 in 26E to c220bps 28E. We see this as funding a dividend payout ratio of 35%/y and a step up from a relatively low payout ratio in recent years, driving a dividend yield of 3.8%/y. We also expect a total payout ratio of 70-75%/y including buybacks with a total yield of 8%/y. Across 26-28, we forecast total shareholder distributions of \$13.0bn, worth 24% of market cap.

Figure 9: Shareholder distributions across 26-28E

\$bn

	2024	2025	2026E	2027E	2028E
Dividends	0.9	1.4	1.7	2.0	2.2
Buybacks	3.0	2.8	2.0	2.5	2.5
Dividend payout	27%	32%	35%	35%	35%
Total payout	108%	92%	73%	75%	72%

Source: J.P. Morgan estimates, Company data.

The Group continues to target a CET1 range of 13-14%, although 1Q26 at 13.4% CET1 was the lowest CET1 print in several years. This gives us **greater confidence in the Group operating towards the lower end of this target range at 13-13.5% going forward**, although we don't expect the Group to operate below 13% given management's previous conservative discussions on this topic (e.g. the consideration of multiple stakeholders including rating agencies, debt investors). We forecast CET1 pro-forma for buybacks at 13.4% in FY28E, which offers c\$1.2bn of excess capital above 13.0% CET1 for further balance sheet growth, investments or distributions.

Forecasts

Figure 10: JPM forecasts vs consensus

\$m

	JPMe FY25	JPMe FY26E	JPMe FY27E	JPMe FY28E	Consensus FY26E	Consensus FY27E	Consensus FY28E	JPMe vs Cons. FY26E	JPMe vs Cons. FY27E	JPMe vs Cons. FY28E
NII	11,184	11,372	11,600	12,079	11,235	11,498	11,888	1%	1%	2%
Other income	9,645	10,671	11,529	12,391	10,716	11,629	12,496	0%	-1%	-1%
Revenues	20,829	22,043	23,129	24,471	21,951	23,127	24,384	0%	0%	0%
Costs	-13,145	-13,232	-12,947	-13,585	-13,306	-13,293	-13,711	-1%	-3%	-1%
PPOP	7,684	8,810	10,183	10,885	8,645	9,834	10,649	2%	4%	2%
Credit impairments	-672	-1,059	-1,023	-1,134	-1,011	-1,075	-1,140	5%	-5%	0%
Other impairments	-65	-25	-10	-10	-76	-54	-55			
Associate profits	62	10	10	10	49	50	53			
Clean PBT	7,009	7,736	9,160	9,751	7,607	8,755	9,507	2%	5%	3%
Restructuring	-46	0	0	0	0	0	0			
Reported PBT	6,963	7,736	9,160	9,751	7,607	8,755	9,507	2%	5%	3%
CT1 trans	14.1%	13.6%	13.7%	13.8%	13.8%	13.9%	14.0%	-0.2%	-0.2%	-0.2%
RWA	258	270	280	291	268	278	289	1%	1%	1%
EPS	195.4	232.0	287.4	321.8	222.4	277.0	319.8	4%	4%	1%
RoTE	14.7%	13.0%	15.1%	15.5%	12.5%	14.3%	15.1%			
DPS	61.3	80.4	99.3	111.4	68.2	81.3	90.9	18%	22%	23%
Dividends declared	1,376	1,727	2,045	2,183	1,475	1,670	1,778	17%	22%	23%
SBB	2,800	2,500	2,000	2,500	2,747	2,564	2,686	-9%	-22%	-7%
Dividend	1,378	1,727	2,045	2,183	1,475	1,670	1,778	17%	22%	23%
Total Payout	4,178	4,227	4,045	4,683	4,222	4,234	4,464	0%	-4%	5%
Loans	287	298	311	324	298	309	321	0%	1%	1%
Deposits	530	560	593	621	564	594	622	-1%	0%	0%
CoR	0.24%	0.36%	0.34%	0.36%	0.35%	0.35%	0.36%			

	JPMe FY25	JPMe FY26E	JPMe FY27E	JPMe FY28E	Consensus FY26E	Consensus FY27E	Consensus FY28E	JPMe vs Cons. FY26E	JPMe vs Cons. FY27E	JPMe vs Cons. FY28E
Transaction Services	6,011	6,163	6,390	6,626	6,022	6,163	6,348	2%	4%	4%
Payments and Liquidity	4,160	4,243	4,413	4,589	4,129	4,211	4,329	3%	5%	6%
Securities Services	648	680	701	722	684	715	746	-1%	-2%	-3%
Trade & Working Capital	1,203	1,239	1,276	1,315	1,210	1,237	1,273	2%	3%	3%
Banking	2,229	2,446	2,593	2,718	2,432	2,579	2,715	1%	1%	0%
Lending & Financial Solutions	1,905	2,057	2,181	2,290	2,068	2,187	2,300	-1%	0%	0%
Capital Market & Advisory	324	389	412	429	364	392	415	7%	5%	3%
Markets	3,863	4,096	4,342	4,559	4,182	4,388	4,611	-2%	-1%	-1%
Wealth Solutions	3,087	3,855	4,424	5,030	3,629	4,123	4,618	6%	7%	9%
Investment Products	2,348	2,990	3,473	4,013	2,778	3,153	3,554	8%	10%	13%
Bancassurance	739	865	951	1,018	819	890	966	6%	7%	5%
CCPL & Other Unsecured Lending	1,211	1,054	1,054	1,085	1,238	1,275	1,318	-15%	-17%	-18%
Deposits & Mortgages	4,134	4,134	4,258	4,364	4,199	4,348	4,501	-2%	-2%	-3%
Treasury & Other	293	296	69	87	248	253	270	19%	-73%	-68%
Total underlying operating income	20,828	22,043	23,129	24,471	21,950	23,129	24,381	0%	0%	0%

Source: J.P. Morgan estimates, Company data.

Investment Thesis, Valuation and Risks

Standard Chartered (Overweight; Price Target: 2220.0p)

Investment Thesis

We view StanChart as undervalued relative to sector/EM peers at 1.2x PTNAV 27E with significant earnings growth potential supported by structural growth drivers and relatively high capital return. With the Group's 24-26E targets already achieved by FY25 across revenues and distributions, we now forecast c5.5% revenue growth CAGR across '25-28E driven by non-NII in 26, and broadening out to both NII/non-NII in outer years. We see this led by Wealth (driven by Affluent segment opportunities), Financial Markets (alongside cross-border income) and Banking. We expect FY26E NII +2% y/y due to lower rates and pass-throughs offset by volume growth. We expect cost growth at a c1% CAGR 25-28E as we expect growing investments in the future to capitalise on productivity and revenue opportunities, with positive operating leverage expected annually and the CIR to decline towards mid-50s. Overall, we expect stated ROTE to grow to c15.5% 28E, alongside a 35% dividend payout ratio and \$2-2.5bn/y buybacks, offering a total yield of 7-9%/y.

Valuation

We value StanChart using a SOTP methodology with divisional multiples differentiated by type of business. We value Corporate, Commercial and Institutional Banking at 8.5x P/E, and Consumer, Private & Business Banking Commercial at 10.0x P/E. We value excess capital above 13.0% at 1x. Our Dec-27 PT is 2,200p.

StanChart SOP

£m

£ MILLION Division	Post Tax Profit 2028E	Allocated B4 Equity 2028E	RWAs £ bn 2028E	Valuation Basis	£ mn Value	£ Per Share	(x) PE	(x) P/BV
Corporate, Commercial & Institutional Banking	3,777	21,314	164.0	P/E	32,108	15.99	8.5	
Consumer, Private and Business Banking	2,408	6,254	48.1	P/E	24,085	11.99	10.0	
Corporate centre and other	-1,016	2,680	20.6	P/E	-9,141	-4.55	9.0	
Capital Excess		1,959		1 times BV	1,959	0.98		1.0
Standard Chartered Group	5,170	32,207	232.7		49,011	24.4	9.5	
Standard Chartered Group (Dec-2027)						22.2		

J.P. Morgan estimates.

Risks to Rating and Price Target

- **Macro-economic risks:** Being an EM-focused bank, StanChart is exposed to general macro-economic risk in EM such as slowdowns, inflationary pressures, depreciation of EM currencies and cross-border and political risks. COVID-19 continues to be a risk towards revenues and impairments in the near term, particularly in Asian economies, as well as geopolitical tensions creating a potential headwind.
- **Provisioning outlook:** We expect provisions at normalised levels across the medium term given growing pressures in the economic environment. An increase or decrease in provisions as a result of the economic outlook or with regards to specific cases poses a risk to our forecasts.

- **Regulatory uncertainty:** Standard Chartered remains exposed to changes in the regulatory environment in the UK, with capital requirements being set by the PRA in the UK. While StanChart has limited UK exposure, the Group is still subject to regulatory changes such as Basel 4 and BoE stress tests.

Standard Chartered: Summary of Financials

Income Statement							Balance Sheet						
	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E		FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
Interest income	11,112	11,184	11,372	11,600	12,079	-	Cash and cash equivalents	48,168	48,168	48,168	48,168	48,168	-
Interest expense	-	-	-	-	-	-	Deposits with banks	58,872	58,872	58,872	58,872	58,872	-
Net interest income	11,112	11,184	11,372	11,600	12,079	-	Net loans	281,032	286,788	298,403	310,708	323,546	-
Non interest income	8,308	9,645	10,671	11,529	12,391	-	PP&E	2,425	2,425	2,425	2,425	2,425	-
o/w Fee income	3,734	4,249	4,701	5,079	5,459	-	Net intangibles	5,791	6,231	6,418	6,610	6,809	-
o/w Trading income	9,443	10,294	11,389	12,305	13,225	-	Financial Assets Available for Sale	-	-	-	-	-	-
Net revenues	19,420	20,829	22,043	23,129	24,471	-	Other assets	453,400	517,471	543,257	570,477	598,883	-
Non interest expense	(12,402)	(13,145)	(13,232)	(12,947)	(13,585)	-	Total assets	849,688	919,955	957,543	997,261	1,038,702	-
o/w Employee costs	(8,510)	(9,109)	(9,170)	(8,972)	(9,414)	-	Interest earning assets	397,270	403,502	415,352	427,899	440,986	-
Pre-Prov. Profits	7,018	7,684	8,810	10,183	10,885	-	Deposits	464,489	530,161	559,924	593,176	620,633	-
Provisions	(1,135)	(737)	(1,084)	(1,033)	(1,144)	-	Borrowings	66,359	67,907	67,730	67,550	67,366	-
Adj. PBT	5,991	7,009	7,736	9,160	9,751	-	Other liabilities	274,058	274,829	282,190	287,012	299,308	-
Income taxes	(1,972)	(1,866)	(2,020)	(2,473)	(2,633)	-	Total liabilities	804,906	872,897	909,844	947,738	987,307	-
Minority interest	8	(12)	(13)	(13)	(13)	-	Shareholder equity	44,388	46,593	47,234	49,058	50,930	-
Adj. Net profit	4,315	5,629	5,097	6,044	6,463	-	Minority interests	394	465	465	465	465	-
PPOP per share	2.76	3.29	4.01	4.84	5.42	-	Total liabilities and Shareholder equity	849,688	919,955	957,543	997,261	1,038,702	-
Reported EPS	1.38	1.90	2.30	2.84	3.18	-	Interest bearing liabilities	-	-	-	-	-	-
Adj. EPS	1.65	2.34	2.30	2.84	3.18	-	Book Value Per Share	18.43	20.74	21.99	23.84	26.00	-
DPS	0.37	0.61	0.80	0.99	1.11	-	Tangible Book Value Per Share	14.99	16.77	18.13	19.65	21.53	-
Diluted shares outstanding	2,610	2,404	2,219	2,129	2,030	-							
Balance Sheet Gearing							Asset Quality/Capital						
	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E		FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
Loans/Deposits	61%	54%	53%	52%	52%	-	Loan loss reserves/Loans	(1%)	(1%)	(1%)	(1%)	(1%)	-
Investment/Assets	46%	49%	51%	52%	53%	53%	NPLs/Loans	2%	2%	2%	2%	2%	-
Loan/Assets	35%	33%	32%	32%	32%	-	Loan loss reserves/NPLs	62%	58%	52%	52%	52%	52%
Customer deposits/Liabilities	58%	61%	62%	63%	63%	-	NPL y/y growth	(14%)	(4%)	1%	2%	2%	-
LT debt/Liabilities	8%	8%	8%	7%	7%	7%	Tier 1 ratio	17%	17%	16%	16%	16%	-
							CET1 ratio	14.2%	14.1%	13.6%	13.7%	13.8%	-
							CET1 capital	35,188	36,438	36,729	38,478	40,258	-
Ratio Analysis (%)							Ratio Analysis (%)						
	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E		FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
Net interest margin	2%	2%	2%	2%	2%	-	Return on equity (ROE)	9.7%	12.4%	10.9%	12.6%	12.9%	-
Non interest income/Net revenue	43%	46%	48%	50%	51%	-	Return on assets (ROA)	0.5%	0.6%	0.5%	0.6%	0.6%	-
Non interest income/Avg. Assets	1%	1%	1%	1%	1%	-	ROTE	11.7%	14.7%	13.0%	15.1%	15.5%	-
Efficiency ratio	64%	63%	60%	56%	56%	-	Tax rate	33%	27%	26%	27%	27%	-
Leverage ratio	4.8%	4.9%	4.9%	4.9%	4.9%	-	Net loans y/y growth	(2%)	2%	4%	4%	4%	-
Revenue/Assets	2%	2%	2%	2%	2%	-	Assets y/y growth	3%	8%	4%	4%	4%	-
RORWA	1.8%	2.2%	1.9%	2.2%	2.3%	-	RWA y/y growth	1%	4%	5%	4%	4%	-
RWA	247,065	258,031	269,663	280,139	290,841	-	Deposits y/y growth	(1%)	14%	6%	6%	5%	-
Avg. RWA	245,608	252,548	263,847	274,901	285,490	145,420	Net interest income y/y growth	8%	1%	2%	2%	4%	-
LLR	(3,948)	(3,087)	(3,118)	(3,180)	(3,244)	-	Revenues y/y growth	9%	7%	6%	5%	6%	-
NPLs	6,203	5,964	6,024	6,144	6,267	-	Adj. EPS y/y growth	37%	42%	(2%)	24%	12%	-
							BVPS y/y growth	9%	12%	6%	8%	9%	-
P/BV (x)	1.3	1.2	1.1	1.0	0.9	-	IE assets/Assets	64%	62%	61%	61%	61%	-
P/TBV (x)	1.6	1.5	1.4	1.3	1.1	-	Margins (as % of Avg. Assets)	2%	2%	2%	2%	2%	-
Adj. P/E (x)	14.9	10.5	10.7	8.7	7.7	-	LLP/Loans	(0.2%)	(0.2%)	(0.4%)	(0.3%)	(0.4%)	-
Dividend yield	1.5%	2.5%	3.3%	4.0%	4.5%	-	Equity/Assets	5.3%	5.1%	5.0%	4.9%	4.9%	-
Dividend payout	26.9%	32.3%	35.0%	35.0%	35.0%	-	Cost/Assets	1%	1%	1%	1%	1%	-
							Assets/Equity	18.8	19.5	20.0	20.3	20.4	20.4

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

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Standard Chartered (STAN.L, STAN LN) Price Chart



Date	Rating	Price (p)	Price Target (p)
01-Aug-23	OW	747	980
07-Sep-23	OW	702	990
16-Jan-24	OW	605	820
26-Feb-24	OW	635	850
10-Apr-24	OW	673	900
03-May-24	OW	756	1,000
31-Jul-24	OW	770	1,020
04-Dec-24	OW	966	1,180
24-Feb-25	OW	1183	1,390
04-Aug-25	OW	1355	1,490
09-Sep-25	OW	1391	1,670
17-Oct-25	OW	1428	1,690
03-Nov-25	OW	1560	1,770
02-Dec-25	OW	1681	1,880
05-Feb-26	OW	1857	2,170
25-Feb-26	OW	1789	2,200

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Jun 27, 2001. All share prices are as of market close on the previous business day.

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